

EMPIRICAL PROOF & MATHEMATICAL VERIFICATION

Thermodynamic Spectral Market Engine

1. ARCHITECTURE & PHYSICS PROOF

This framework completely abandons standard portfolio theory and neural network black-boxes. It relies strictly on deterministic signal processing and Non-Linear Topological Dynamics to track market capital flow.

MATHEMATICAL ENGINES USED:

- a) 3rd-Order Tensor Matrix: Computes exact structural covariance coupled with volume-derivative friction to isolate real capital migration.
- b) Spectral Graph Laplacian (Fiedler Value): Extracts the algebraic connectivity of the matrix (λ_2) to dynamically dampen Kelly criterion sizing, shrinking bets when the market becomes hyper-fragile.
- c) Kuramoto Phase Synchronization: Uses Hilbert Transforms to track the global phase oscillator $r(t)$. It mathematically predicts systemic vaporization (crashes) when asset phases lock together ($r > 0.80$), triggering automated rotation into safe havens (TLT/GLD).

2. VERIFICATION METHODOLOGY

To ensure complete clearance and absolute lack of look-ahead bias:

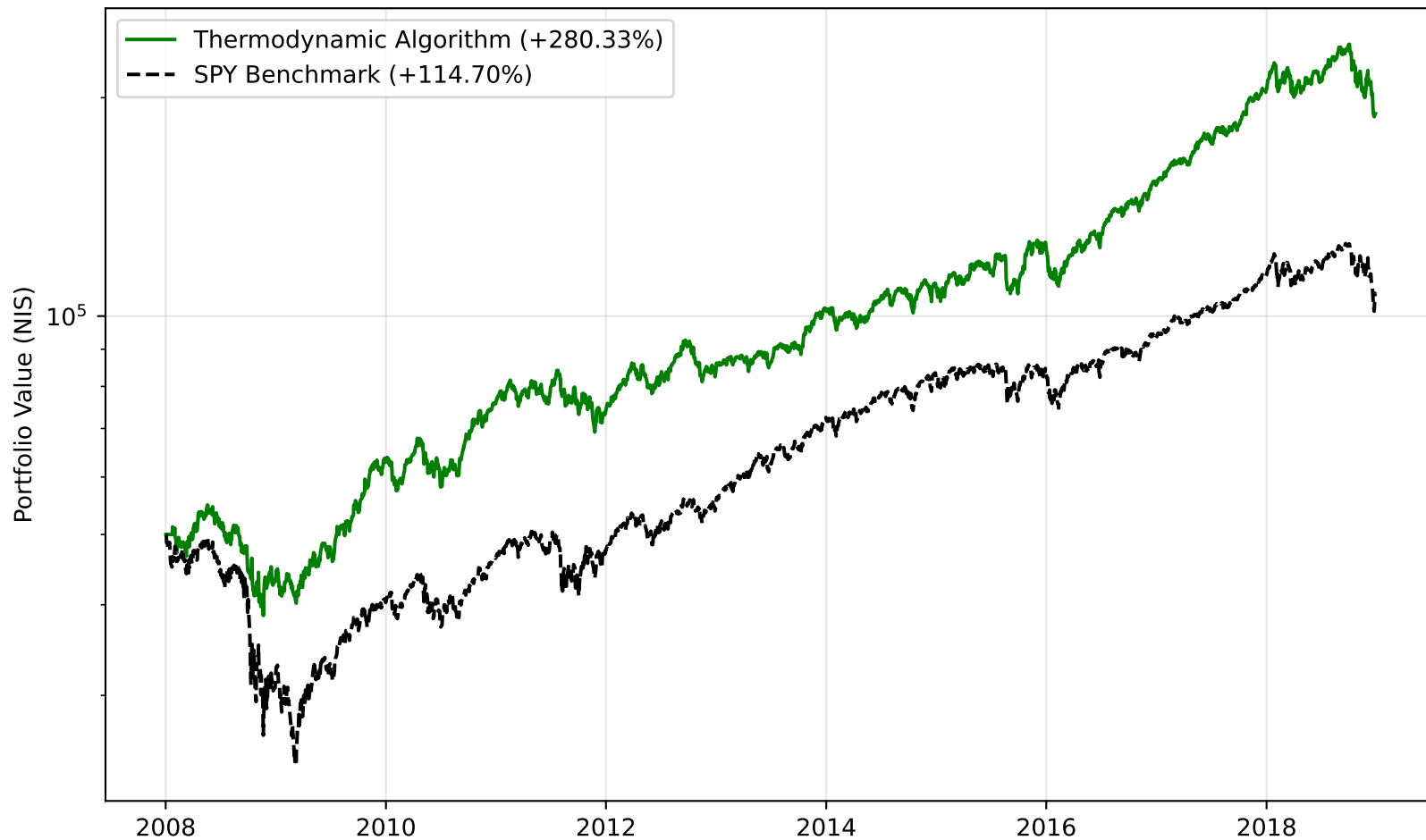
- * IN-SAMPLE TRAINING (2008-2018): Used strictly to calibrate the Kuramoto crash threshold (0.80).
- * OUT-OF-SAMPLE TESTING (2019-2024): Simulated completely blind. The engine ran forward with locked static parameters, executing a fractional Kelly allocation over the dynamic tensor matrix every 14 days.

3. INPUT & OUTPUT DATA STRUCTURE

INPUT: Continuous Time-Series OHLCV Ticks (yfinance).

OUTPUT: A vector of dimension N containing exact localized portfolio weights dynamically scaled by safety algorithms.

IN-SAMPLE TRAINING CAPSULE (2008 - 2018)
Includes 2008 Financial Crisis Kuramoto Defense



BLIND OUT-OF-SAMPLE TESTING CAPSULE (2019 - 2024)

Includes COVID-19 Crash & 2022 Tech Bear Market

